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# Commercial Open Source Report

2024

Insights on how tech companies are building value with open-source software

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# Why did we build this report?




Open source software has fundamentally reshaped our technological landscape, powering critical systems and innovations that drive our digital world. Yet, while the open source ethos has been instrumental, it's the fusion of this ethos with commercial ingenuity that propels its success.

For founders, investors, and IT buyers, deciphering the commercial viability of open source projects presents a formidable challenge. The path to building sustainable ventures around open source technologies demands a nuanced understanding of what drives success in this space.

What separates the winners from the rest? How do you set the frontier between open and commercial territories? How do you monetize your product? How do you build and maintain a community? These are the questions that keep us engaged and searching for insights.

In our report, we take a deep dive into the world of VC-backed commercial open source companies. By analyzing publicly available data, we've compiled a sample of companies at the forefront of this movement. Our goal is simple: to distill actionable insights that empower founders, investors, and IT buyers to navigate this dynamic landscape with confidence.

*A big thank you to all contributors of this report including: Antoine Giacomini, Louis Ducurtil and Raphaël Wat from the Serena Team as well as Damien Garros Miguel Valdes, Jean-Baptiste Onofré, Gilles Rouvier, Yann Lechelle, vonne Jouffrault Emily Omier and the hundreds of entrepreneurs we've met who are building great companies with open-source at their hearts.*

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# Our methodology

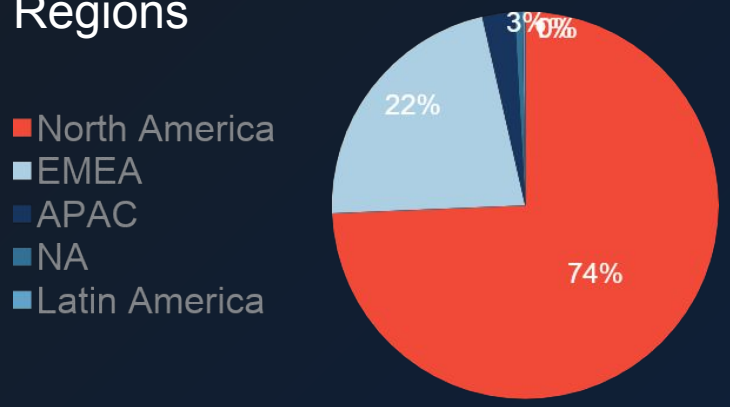
> The report is based on a sample of ~400 companies

> All these companies have an open-source offering and have raised money from investors within the last 3 years

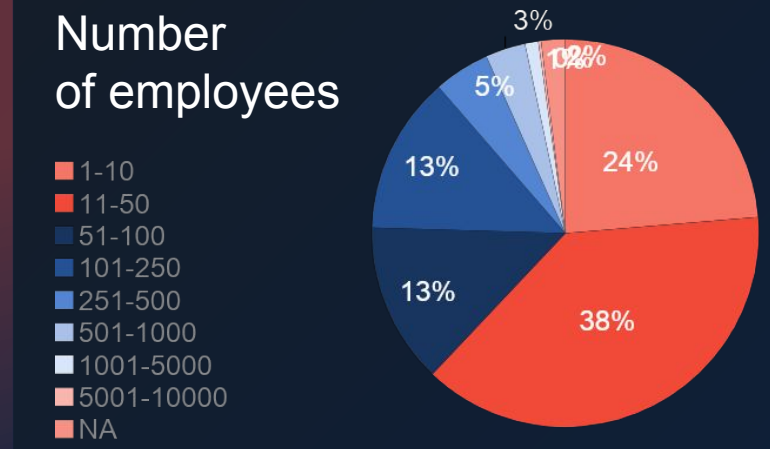
> Data is gathered from public sources including GitHub and business databases

> Data does not cover open-source AI models hosted on Hugging Face

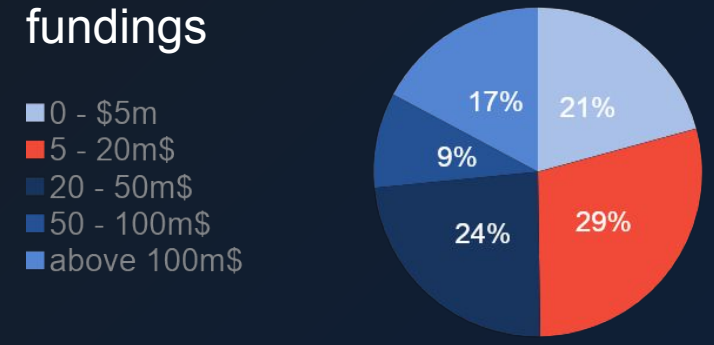
## Regions



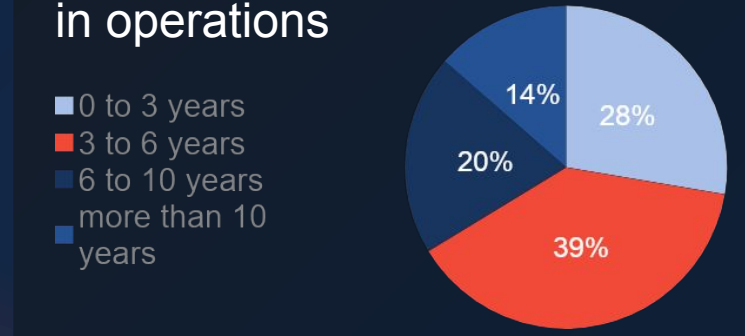

## Number of employees




## Cumulated fundings



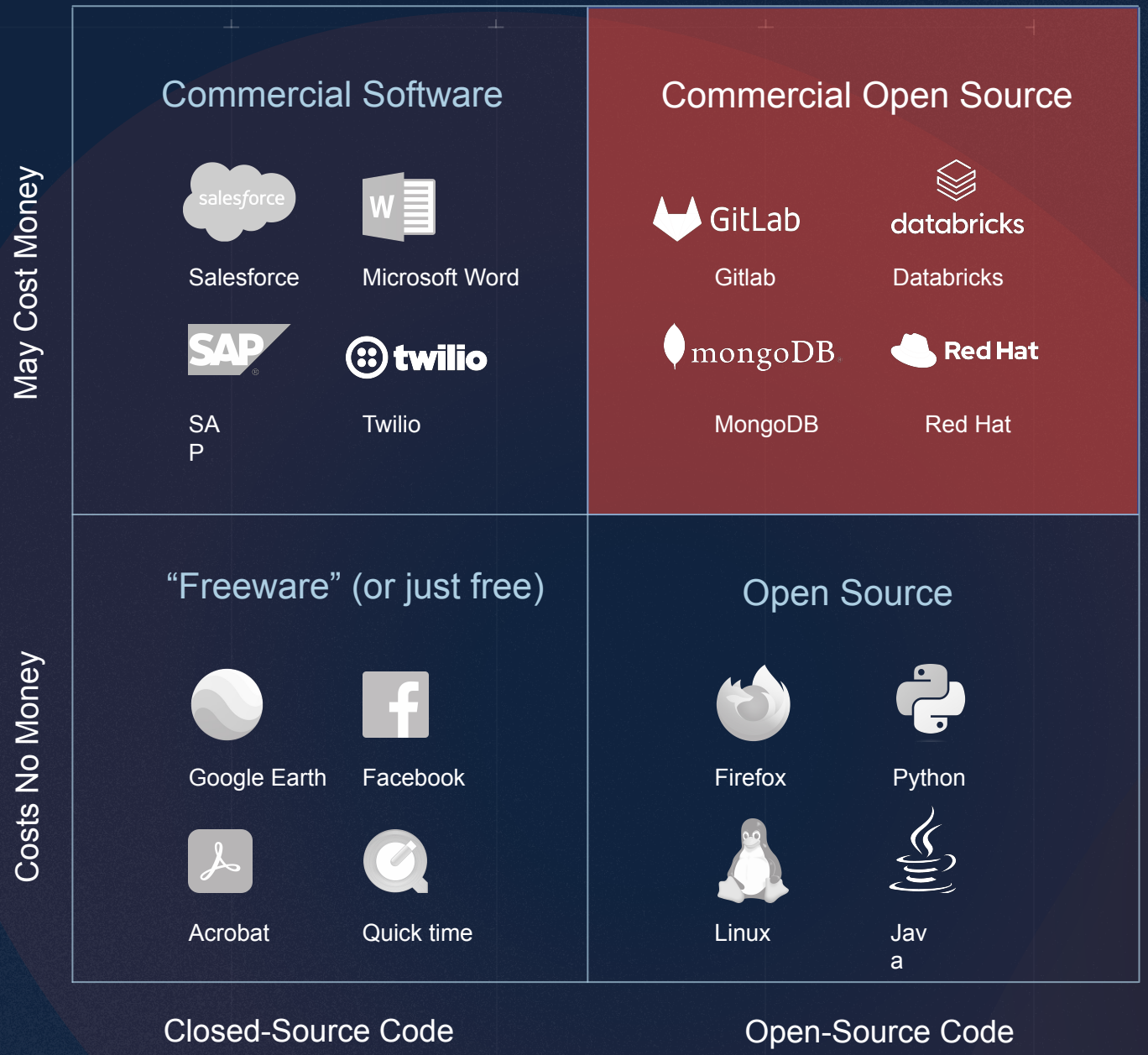

## Year in operations



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# Commercial Open Source Provides Access to (Some) Open Source Code at No Cost with Potential Expenses Based on Usage and Requirements

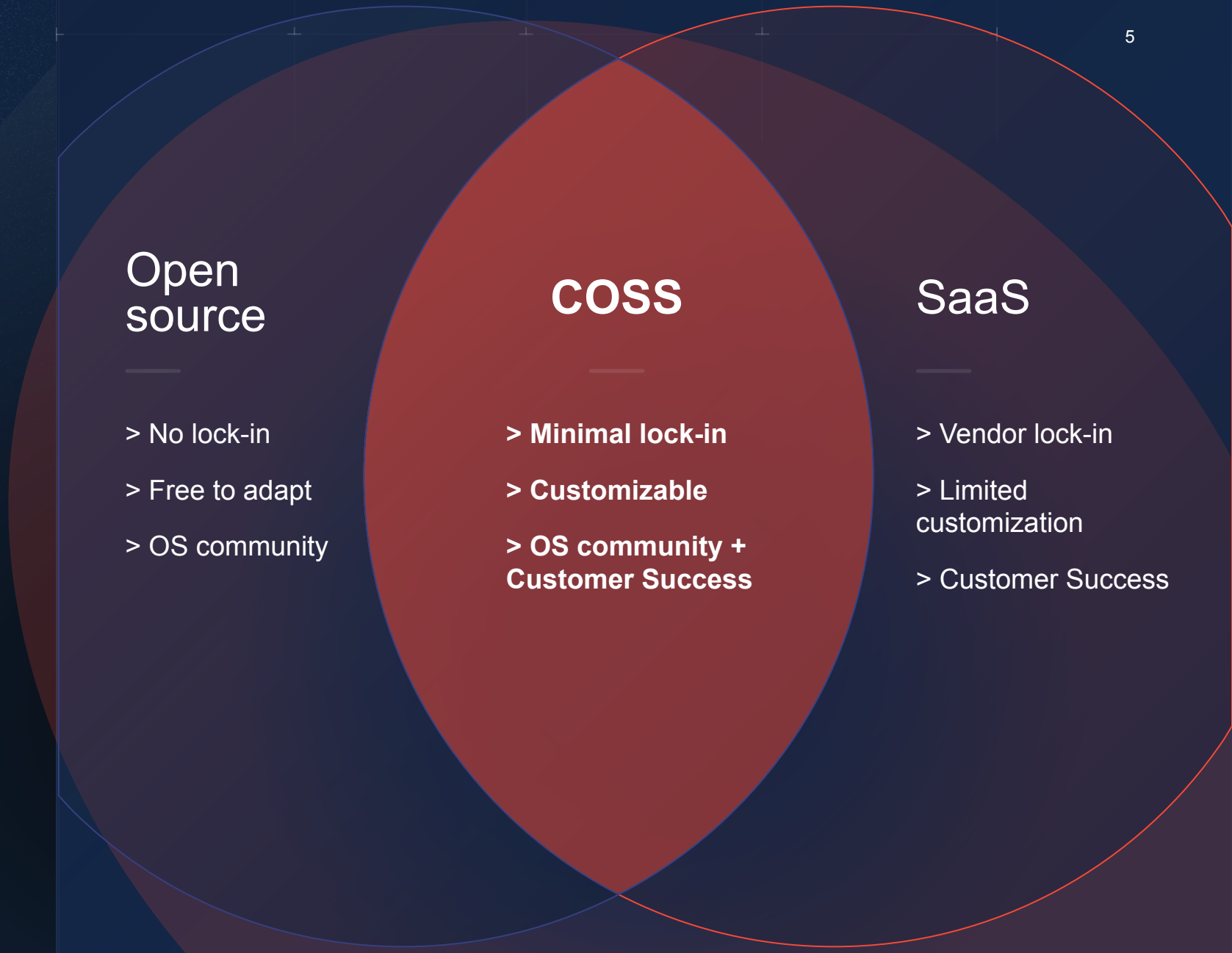
*2x2 inspired by Jason Robert Carey Patterson at https://www.lighterra.com/articles/opensource/*



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# Commercial open source merges open source flexibility with professional support

Venn Diagram inspired by Snowplow



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# The POV




The appeal of commercial open source is undeniable. Its commitment to avoiding vendor lock-in enables organizations to navigate their own path without being hindered by proprietary limitations. Its inherent flexibility and scalability empower businesses to tailor solutions precisely to their requirements, ensuring adaptability and agility in a dynamic marketplace.

What truly distinguishes commercial open source, particularly for enterprise buyers, is its unique go-to-market advantage. By seamlessly integrating into organizations without the need for a traditional purchasing process, it serves as a significant accelerator. Only after reaching a certain threshold of value creation do sales processes become necessary, streamlining the path to conversion.

Additionally, the invaluable feedback and support from the community surrounding the product enhance its appeal. This collaborative environment not only fosters innovation but also instills confidence in the product's reliability and quality.

talend

About Talend:
Data is critical for any organization — but keeping data in good condition requires a careful balance between availability, usability, integrity, and security. Talend can help you achieve and maintain the complete, trustworthy, and uncompromised data you need to stay in control, mitigate risk, and drive value.

# Vc-backed commercial open source companies represent ~10% of the top repositories on github

METHODOLOGY:

*Number of VC-backed organizations in the Top 500 organizations by star count on GitHub. VC-backed = company who have received at least one investment from private investors*

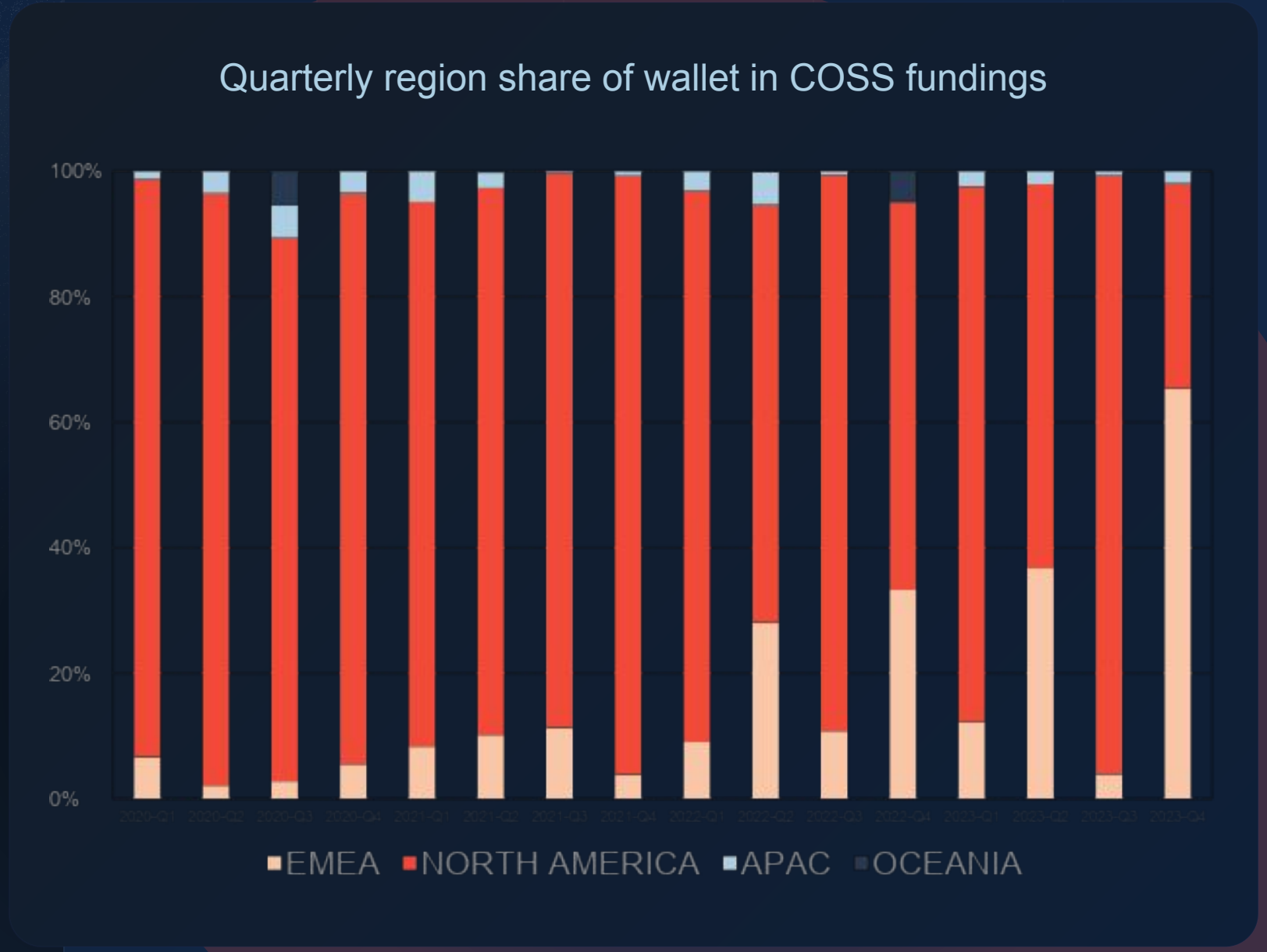


# US dominates VC funding for commercial open source ventures

> Over the last 4 years, COSS organizations have raised 82% of their money from US investors

> Europe share of wallet has grown from ~4% in ’20 to 30% in ’23

> EU investors crushed Q4 2023 with two mega deals (Aleph Alpha 500m$, Mistral 414m$)



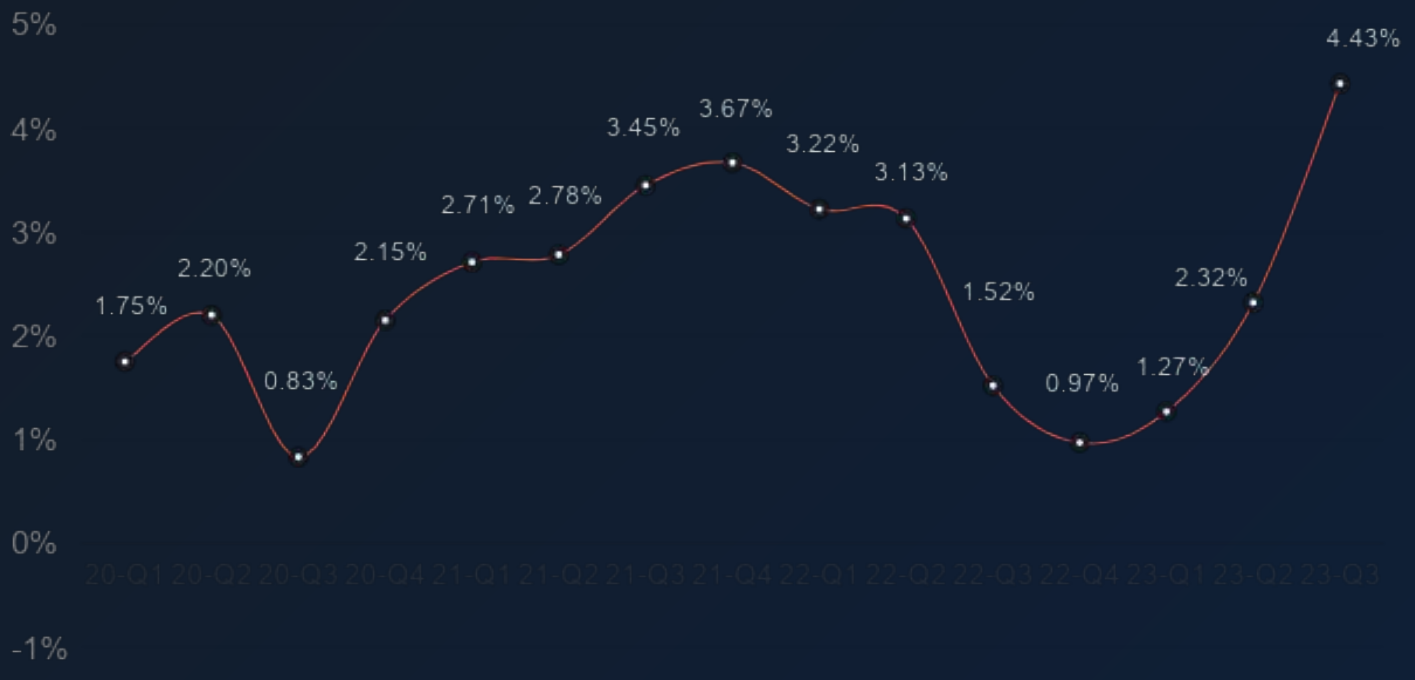
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# VC funding into commercial open source ventures is on the rise

> COSS is increasing its market share of VC money, at least in its main market (US).

> COSS has been hit harder than other categories during the 2022 VC crunch.

## Commercial open source share of wallet in US VC Fundings

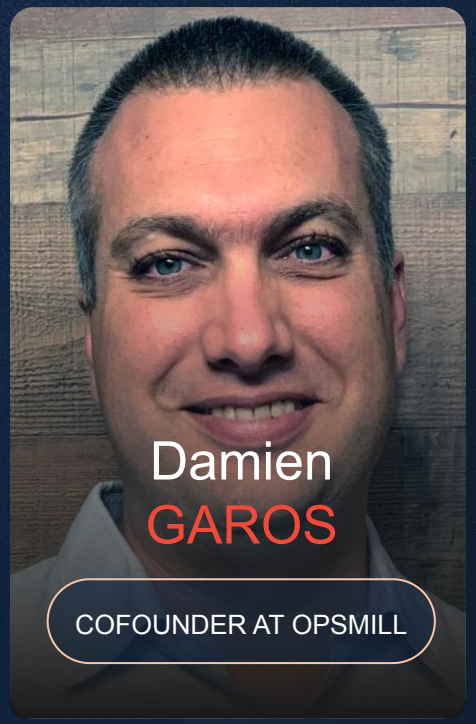



METHODOLOGY

*Numerator: VC fundings in COSS companies (in USD)*
*Denominator: VC fundings all category included (in USD)*

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# The POV




The Open Source ecosystem operates within a layered framework, where each project relies on numerous other OSS projects. At the apex of this pyramid are projects that secure funding or establish sustainable business models (COSS), typically those closest to end users.

Conversely, critical projects, often forming the foundational layer of the stack, are frequently free (FOSS) and struggle to secure adequate resources, potentially jeopardizing the ecosystem's long-term viability. The recent backdoor discovery in the XZ library underscores the risks associated with underfunded projects.

It could be said that COSS should take the lead in this endeavor, given their early advocacy for valuing Open Source software. In the coming years, I hope to witness increased efforts to expand support to FOSS.

OpsMill

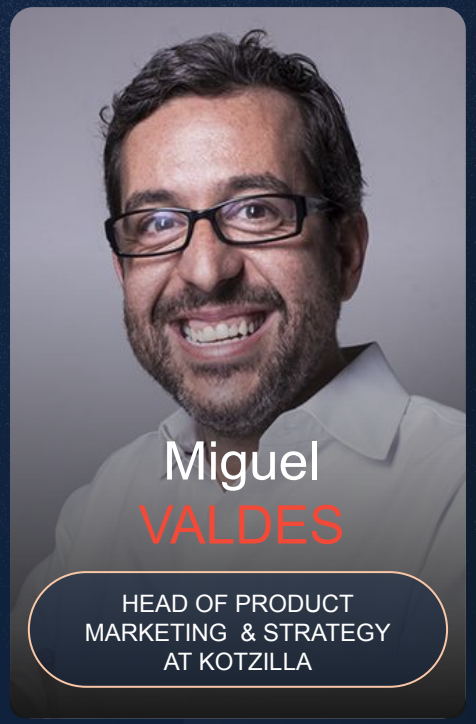
About OpsMill:
OpsMill is building the next evolution of infrastructure management, by putting data management at the center of an Infrastructure Management Platform while leveraging the best of infrastructure as code. With Infrahub, teams can unify all information that powers their infrastructure to deliver a more reliable system, accelerate execution of projects ranging from routine maintenance to new initiatives as well as enabling team efficiency and new automation projects - all with reduced risk of disruptions and human errors.

# Economic promises in data and observability, exposure and community traction for devtools



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# The POV




Recent investments in AI-related open source technologies underscore the surging traction of commercial open source.

Looking forward, I foresee substantial investments flowing into DevTools solutions, driven by significant innovation across automation, testing, data science, AI, productivity, and collaboration.

The landscape is witnessing a proliferation of AI-powered developer tools, ranging from IDEs and assistants to PR agents, app generators, snippet generators, documentation tools, agent platforms, OpenAI plugins, search tools, and testing solutions. This dynamic evolution of the ecosystem for leveraging AI in DevTools is rapidly unfolding.

Open source isn't just growing; it's becoming fundamental in tech innovation.

kotzilla

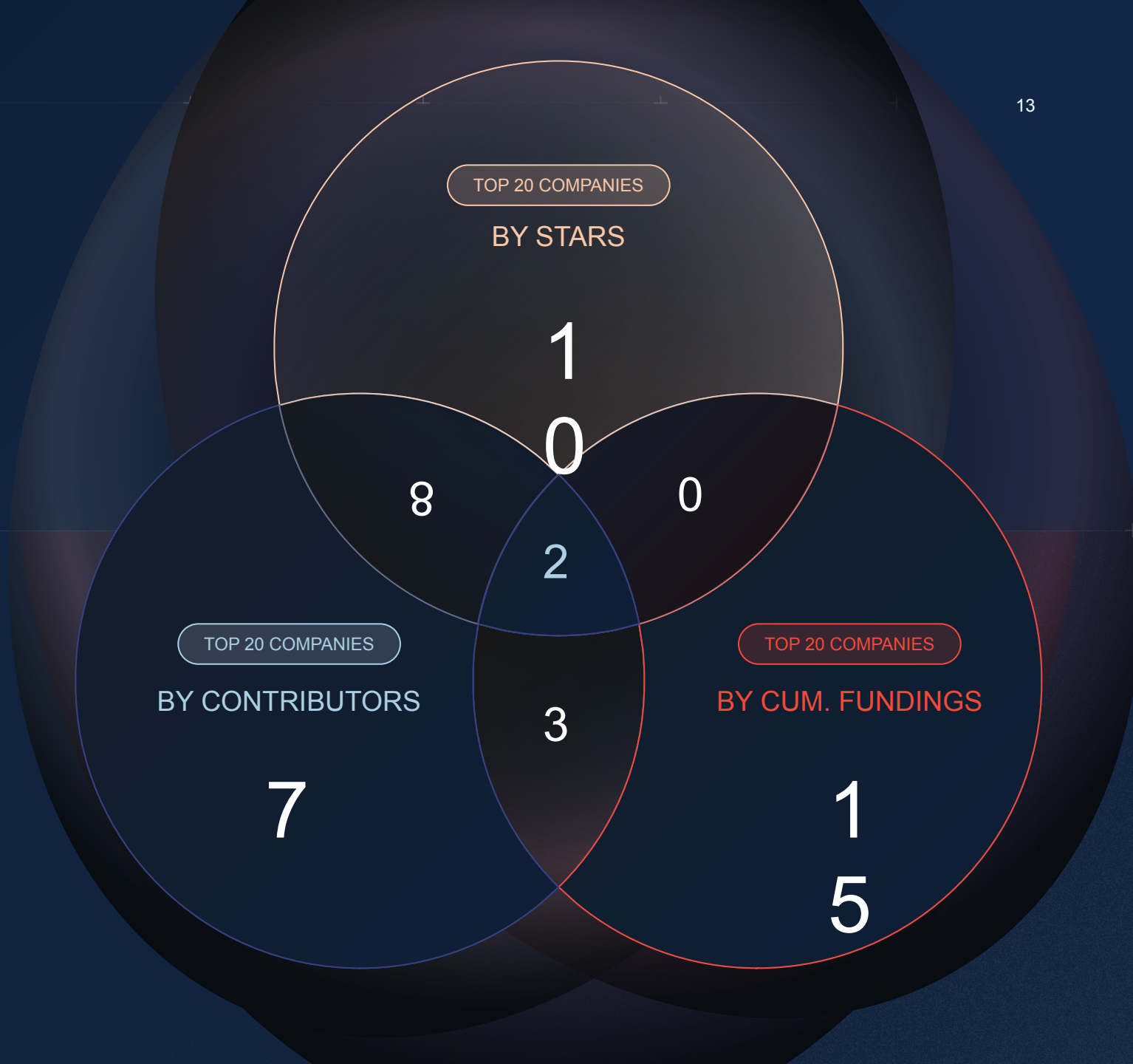
About Kotzilla:
At Kotzilla, the company created by the founders of Koin open source framework, we are on a mission to simplify development and improve productivity of Android developers. With an innovative architecture observability platform, we empower developers with real-time data about applications architecture behavior. The platform enables them to efficiently identify and resolve issues, reduce complexity, tackle technical debt and increase performance of mobile applications.

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# Correlation between stars and contributors, yet stars and fundings show divergence

METHODOLOGY:

*The numbers in this Venn Diagram show the count of organizations that intersect between the Top 20 in Cumulated Fundings, Star Count and Contributor Count. On their most starred repo.*

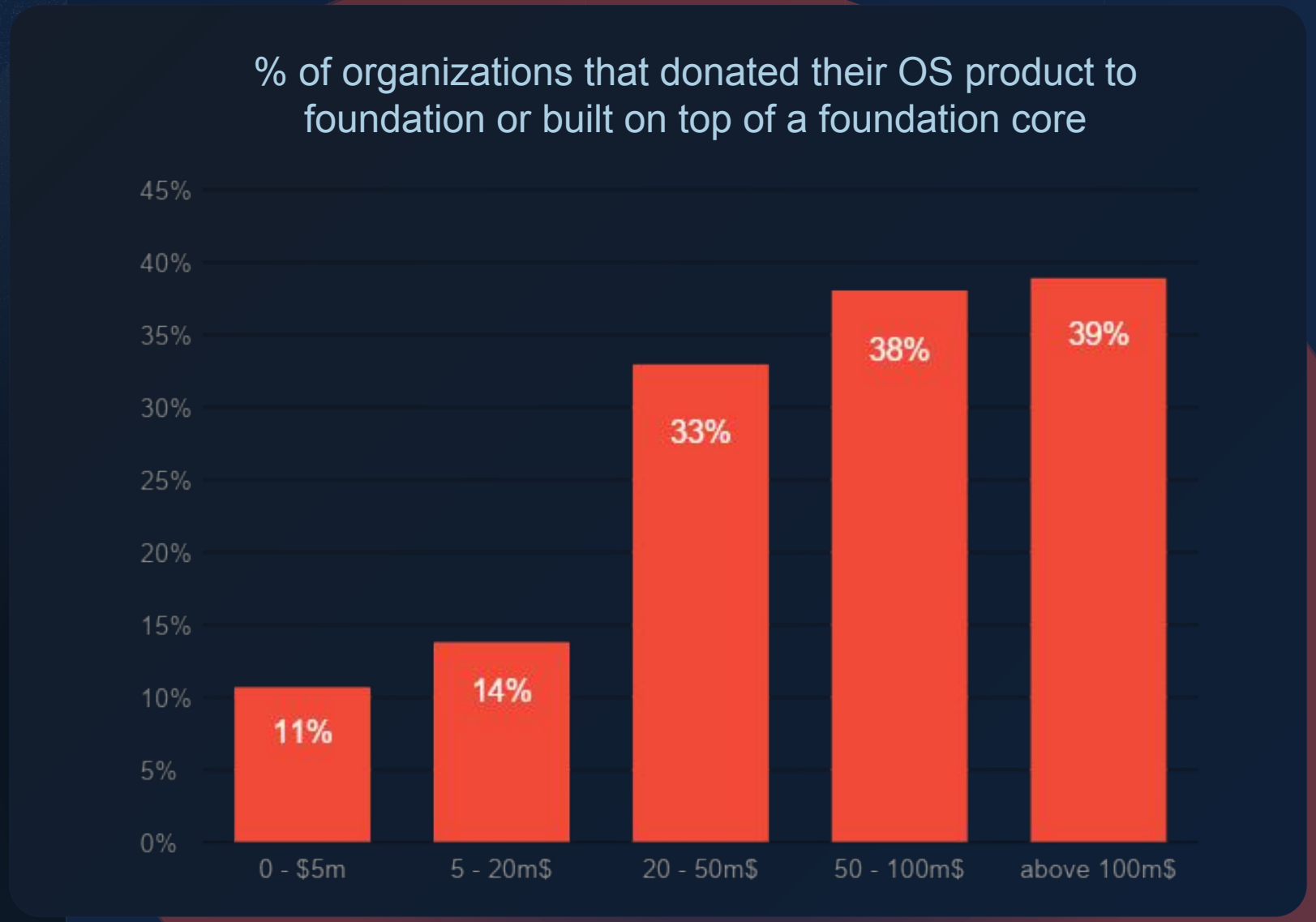


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# Companies contributing to or building upon a foundation attract more fundings. Or the other way around.

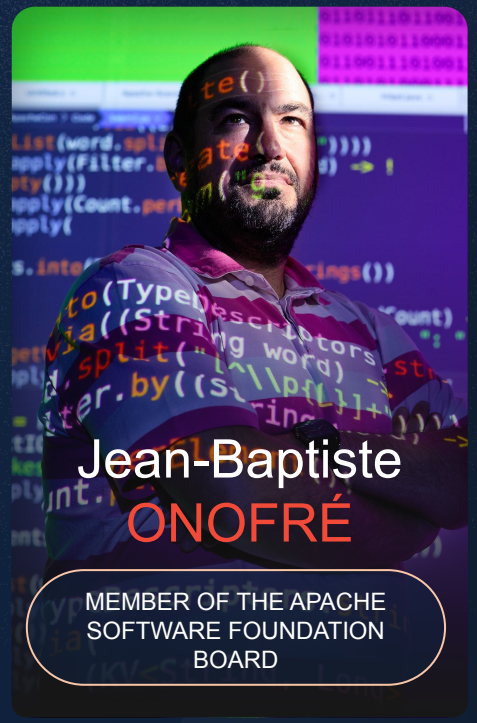
> COSS is increasing its market share of VC money, at least in its main market (US).

> COSS has been hit harder than other categories during the 2022 VC crunch.



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# The POV




Between 70% and 90% of today's software comprises open source components, ranging from those developed by individual developers in their spare time to those backed by companies, with some blending both approaches. The values of Open Source—community, innovation, transparency, cost savings, expanded vision, revenue, and market share, as well as avoiding vendor lock-in and promoting open standards—are widely recognized across the ecosystem.

However, not all Open Source projects uphold these values. Merely utilizing an open source license does not guarantee their security. Open governance is essential to ensuring vendor neutrality and fostering vibrant communities. This is where Open Source Foundations, like The Apache Software Foundation, play a pivotal role. These foundations uphold principles of community, transparency, open governance, and vendor neutrality, facilitating the development of sustainable and dependable open source projects.

An intriguing shift is observed in the projects hosted by foundations: while early-stage projects persist, there is a notable increase in the presence of nearly mature projects. This trend underscores the foundational role that these organizations play in nurturing the ecosystem.

About The Apache Software Foundation:
The Apache Software Foundation (ASF) exists to provide software for the public good. The foundation believes in the power of community over code, known as The Apache Way. Thousands of people around the world contribute to ASF open source projects every day.

# Permissive licenses are the market standard in commercial open source



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# The POV




COSS business models encompass multiple realities, but all share the common need for heightened attention to complying with the licenses of Open-Source components used in the software, whether permissive or copyleft, as they request to respect specific obligations. Permissive licenses require, in particular, distribution of copyright notices. Copyleft licenses entail heavier consequences as they require users to share their modifications under the same license, thus guaranteeing open access to the source code (copyleft effect).

The transparency of COSS tools requires increased vigilance as third-parties authors of Open-Source components can readily access the code to verify compliance with the obligations of the licenses governing their components. A license is merely a contract, and failure to respect its terms may be construed as a breach of contract, and/or an infringement of the author's rights, resolving in financial compensation.

Another particular care must be taken by COSS companies when choosing the license under which they open-source their "core" software as such license must be compatible with the licenses of other components present in the software.

Lawways Avocats

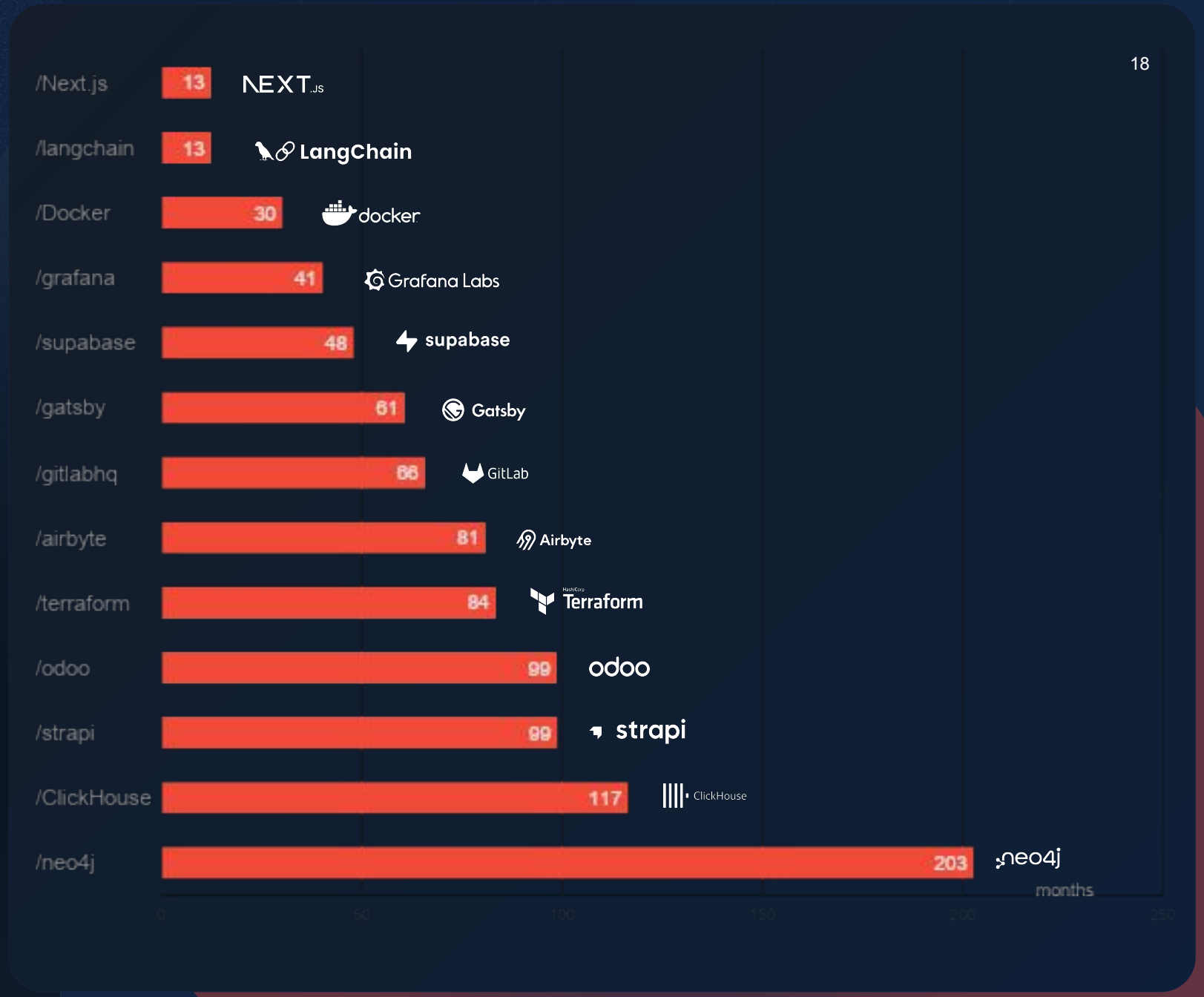
About Lawways:
Gilles Rouvier is an attorney before the Paris Bar since 1995. He founded Lawways in 2006. Lawways has developed a specific and specialized expertise, in the sector of new technologies, and more particularly in Artificial Intelligence, software, ownership of IP, protection of personal data and IT contracts negotiations.

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# How many months did it take them to reach 10,000 stars?

METHODOLOGY

*Number of months elapsed between their first release and the 10,000 stars milestone on their most starred repository*



# The 2024 COSS benchmark, by seniority bucket

| *By years in existence* | | *0 to 3 years* | *3 to 6 years* | *6 to 10 years* | *More than 10 years* |
|---|---|---|---|---|---|
| Star count | Top quartile: | 6 774 | 7 982 | 17 933 | 12 739 |
| | Median: | 1 788 | 1 638 | 3 803 | 3 839 |
| YoY star growth | Top quartile: | 276% | 44% | 31% | 15% |
| | Median: | 99% | 23% | 15% | 9% |
| Contributor count | Top quartile: | 108 | 111 | 407 | 477 |
| | Median: | 38 | 40 | 88 | 136 |
| YoY contributor growth | Top quartile: | 157% | 50% | 25% | 16% |
| | Median: | 100% | 25% | 15% | 6% |
| Star to contributors Ratio | Top quartile: | 85 | 77 | 57 | 45 |
| | Median: | 49 | 38 | 26 | 27 |
| Contributors to FTE* | Top quartile: | 3,0 | 1,8 | 1,2 | 0,8 |
| | Median: | 0,8 | 0,4 | 0,1 | 0,2 |



**FTE = Full-time equivalent, sometimes abbreviated as FTE, is a unit to measure employed persons*

# The 2024 COSS benchmark, by cum. Fundings

| *By cumulated funding* | | *<$5M* | *$5-$20M* | *$20-50M* | *$50-100M* | *>$100M* |
|---|---|---|---|---|---|---|
| Star count | Top quartile: | 7 777 | 7 517 | 11 150 | 7 703 | 17 262 |
| | Median: | 3 675 | 1 498 | 1 575 | 1 329 | 5 396 |
| YoY star growth | Top quartile: | 163% | 68% | 40% | 54% | 35% |
| | Median: | 48% | 28% | 16% | 27% | 14% |
| Contributor count | Top quartile: | 103 | 129 | 166 | 144 | 577 |
| | Median: | 47 | 36 | 62 | 40 | 146 |
| YoY contributor growth | Top quartile: | 142% | 75% | 46% | 48% | 39% |
| | Median: | 45% | 25% | 17% | 28% | 14% |
| Star to contributors Ratio | Top quartile: | 99 | 64 | 57 | 81 | 49 |
| | Median: | 57 | 37 | 27 | 26 | 27 |
| Contributors to FTE* | Top quartile: | 5,6 | 2,1 | 1,3 | 0,3 | 0,7 |
| | Median: | 1,6 | 0,5 | 0,3 | 0,1 | 0,1 |

**FTE = Full-time equivalent, sometimes abbreviated as FTE, is a unit to measure employed persons*

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# About Serena

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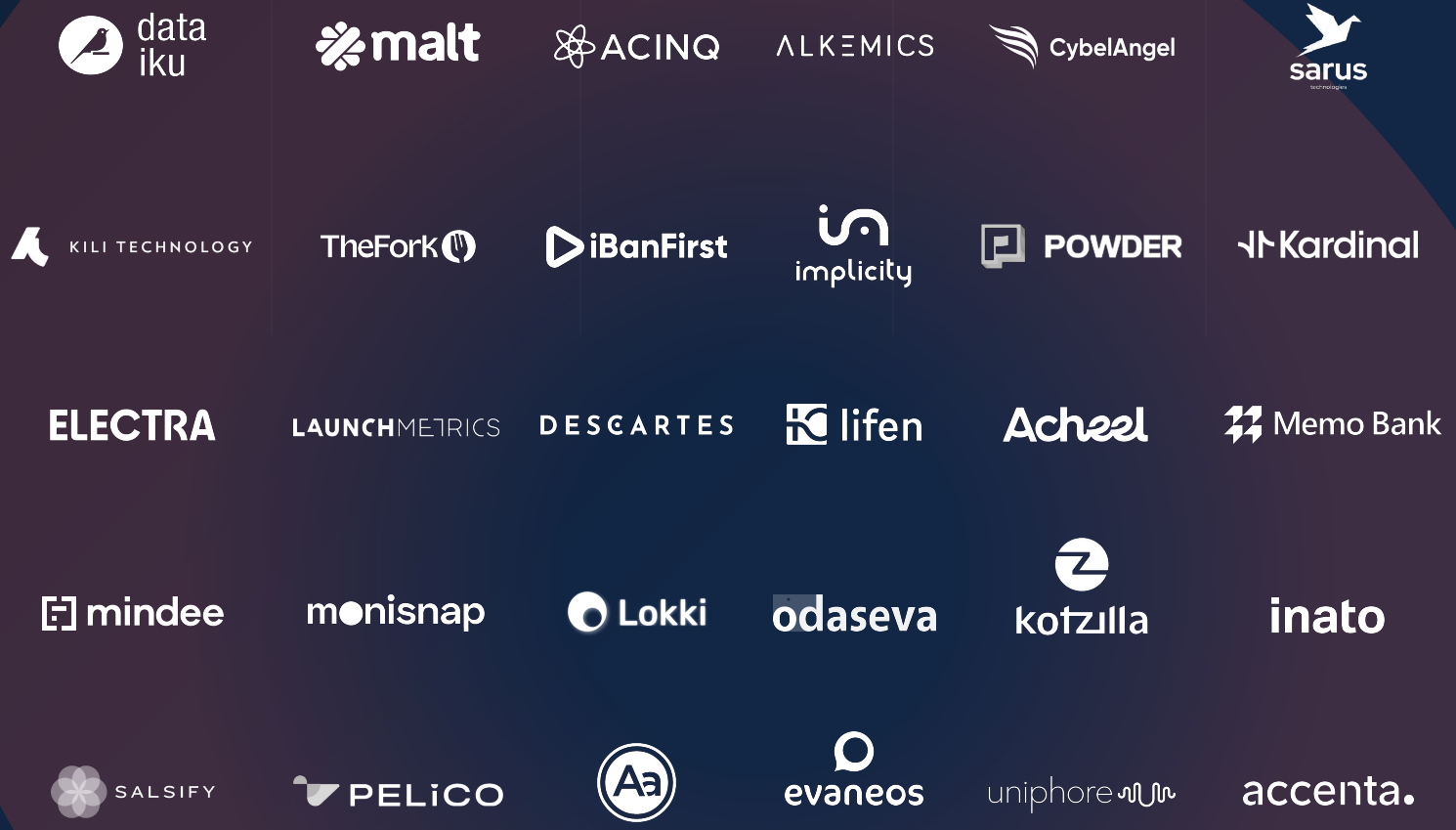
Serena is one of Europe's leading venture capital funds, with $750m under management.

Founded in 2008, Serena invests at early stages, from seed to series A, and supports the success of innovative and ambitious entrepreneurs to service a better world.

Born of the profound conviction that a venture capital fund should be at the service of its portfolio companies, Serena has set up the largest operational support team in Europe and the most active startup community, the Serena Squad, with more than 550 active C-levels.

Serena has a strong focus on AI, SaaS, Climate Tech, Digital Transformation, and Impact.

We backed **100+ companies** including:



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